# EABL F’12 Half Year Results

# Investor Briefing

Seni Adetu, Group Managing Director

Stanley Njoroge, Group Financial Controller

17th February 2012

| | |
|---|---|
| • Highlights | Seni Adetu |
| • Financial Performance | Stanley Njoroge |
| • Outlook and Summary | Seni Adetu |

# Vision Statement

**EABL is the most celebrated business in every market in Eastern Africa**


- Market-leading brands across all price points across Total Beverage Alcohol
- Focused on delivering sustainable top and bottom line performance
- Building strong routes to market supported by a secure supply base
- Committed to the responsible sales and marketing of iconic brands leveraging our deep consumer understanding
- Devoted to developing our talent and having a positive impact in the communities in which we operate

# We have a broad portfolio with strong brands at all price points


**Lower** **Price points** **Higher**

# F’12 Half Year Review

Seni Adetu
Group Managing Director & CEO

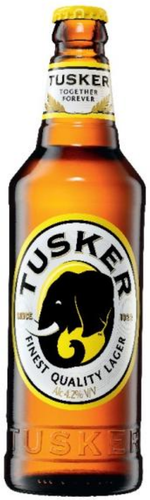




# We have delivered strong performance in the face of macro challenges

- Turbulent macro-economic conditions across all our markets
- Consumer confidence and disposable income have been hit
- Short-term market events impacted our sales
- The inconsistent application of new regulations continues to provide challenging conditions for our industry
- In spite of this, EABL has performed strongly

# We have delivered strong volume growth on our brands

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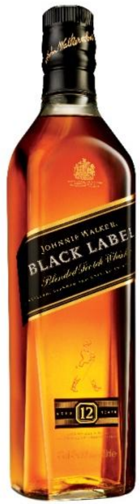
+4%




+51%


+48%


+164 %


+36%


+17%


+55%

SIX MONTHS ENDING 31 DEC 2011 VS PY

# We have delivered strong growth across our P&L



## First half F12 vs First half F11

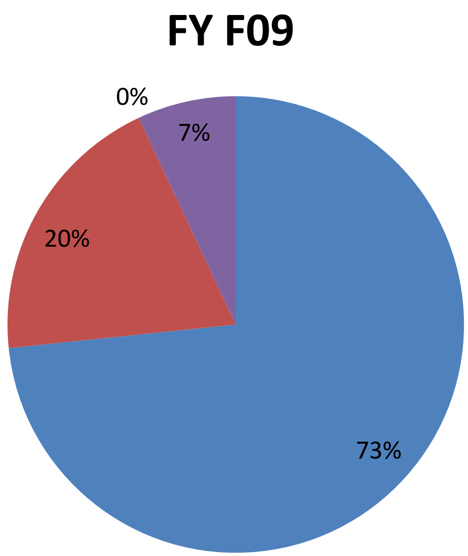
| | |
|---|---|
| Volumes | **+18%** |
| NSV | **+36%** |
| COGS | **+45%** |
| A&P | **+55%** |
| Operating Profit | **+20%** |
| Net Profit | **+38%** |

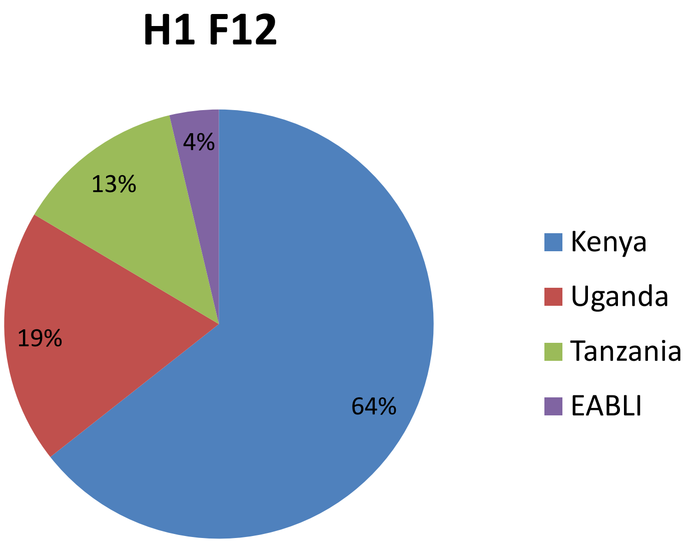
- ✓ Net Sales grew ahead of volume
- ✓ Increased investment in A&P
- ✓ Cost management

SIX MONTHS ENDING 31 DEC 2011 VS PY

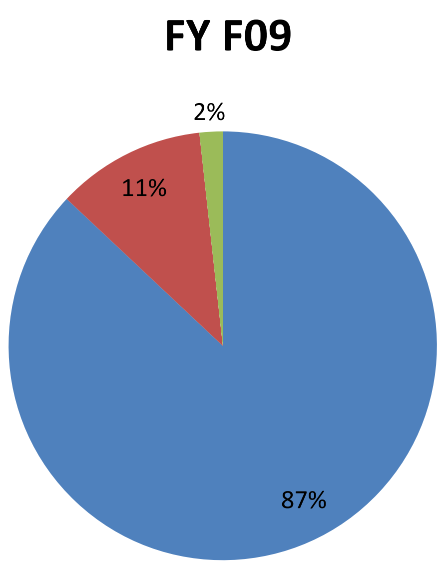
# We have delivered geographic and product mix diversification

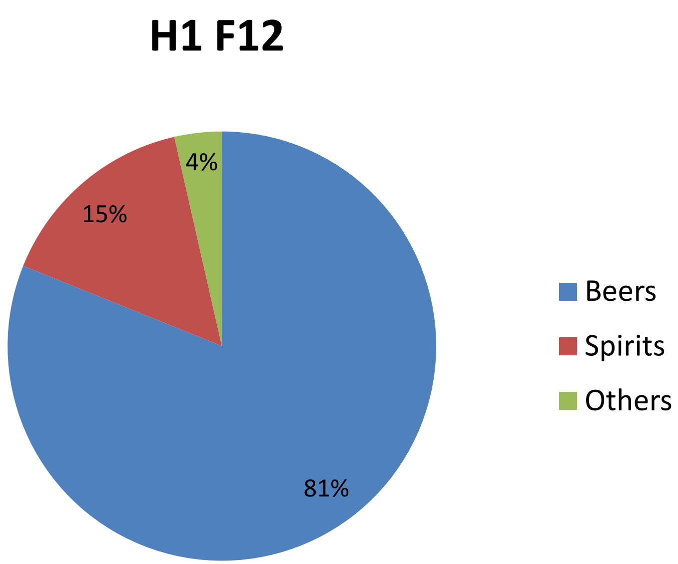
**NSV by Geography**




**NSV by Category**




SIX MONTHS ENDING 31 DEC 2011 VS FULL-YEAR REPORTED FIGURES TO 30 JUNE 2009

# Some highlights of our first half performance

**Renovation**


**Uganda**


**Innovation**


**Key brand growth**



# Our Brand Marketing across the region continues to deliver cut-through




# We are pleased with the ongoing integration of SBL

- Completed the unwinding of our relationship with SAB Miller
- Successfully disposed by public offer of EABL's 20% shareholding in TBL
- Accelerated integration of SBL with new appointments
- Commissioned Moshi Brewery
- Top line performance encouraging but ongoing investments impact profitability


# We continue to invest in our people

- Capability – Attracting & retaining the best talent in the market
- Employee engagement – EABL is the best place to be
- Succession planning – Building a robust talent pipeline

DIAGEO

# As well as our communities

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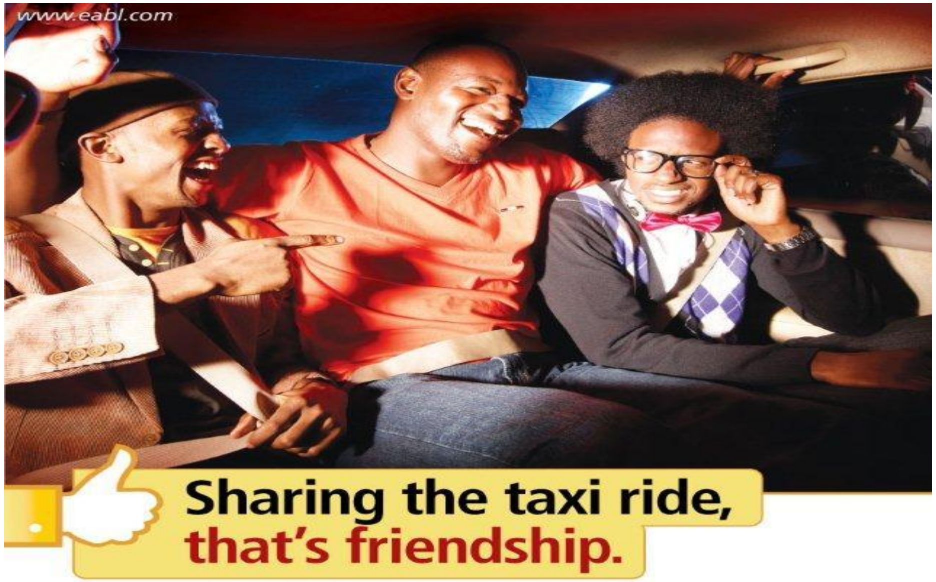
Maisha giving for good
An Eabl Initiative!

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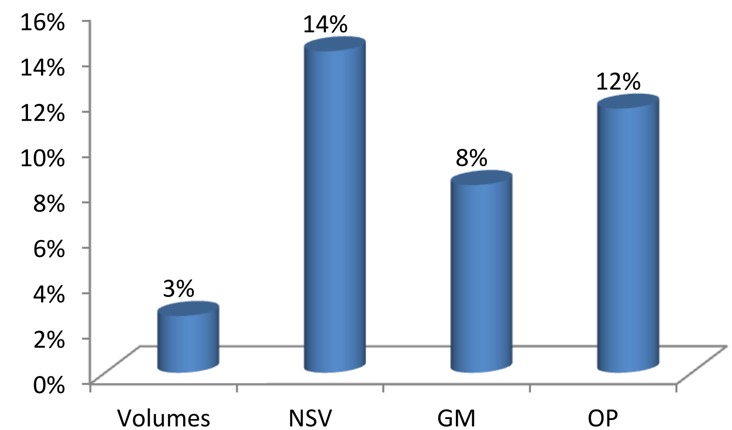
Enriching Lives!

# F’12 Half Year Financial Update

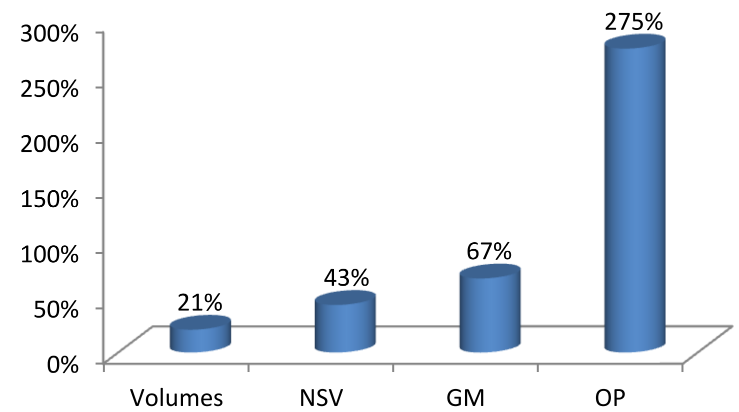
**Stanley Njoroge**
**Group Financial Controller**

# All four markets delivered growth

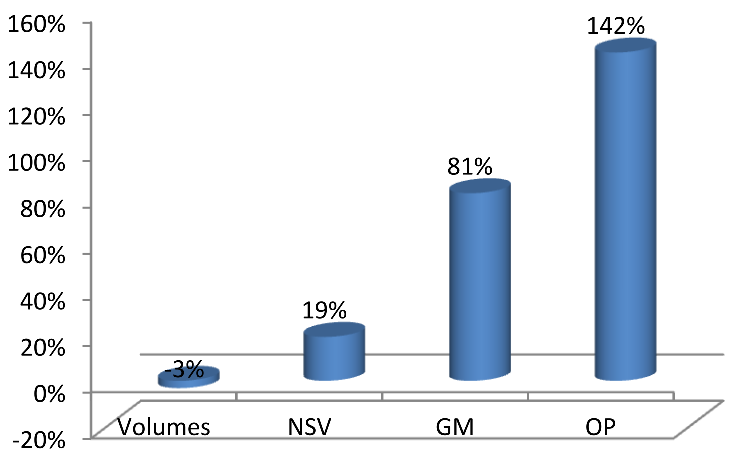
## Kenya




## Uganda




## EABLI



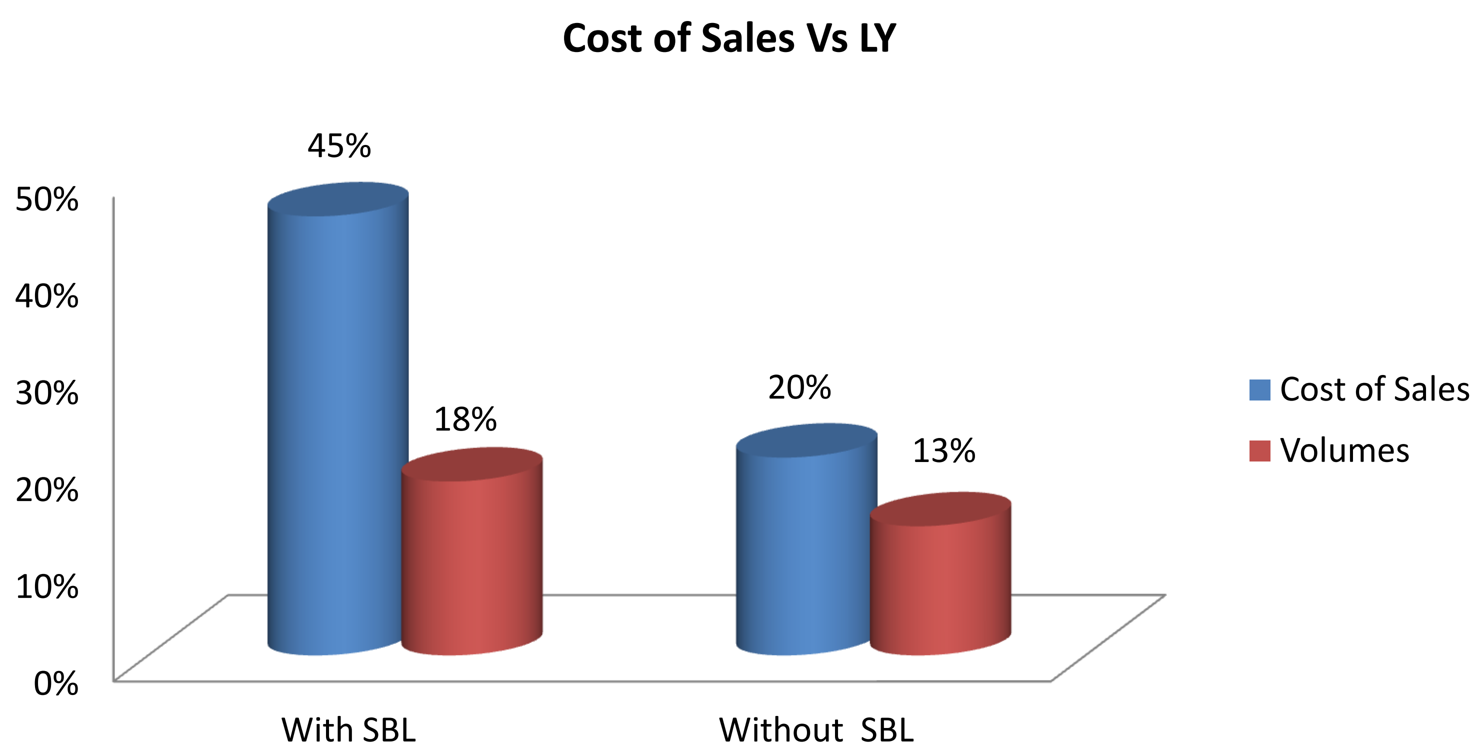

**Tanzania market:**

- Positive growth in volumes and NSV
- Serengeti contribution to the EABL group:
  - Volumes 10%
  - NSV 13%
  - A&P 20%



SIX MONTHS ENDING 31 DEC 2011 VS PY

# Cost of Sales performance




- Inflation on major inputs caused challenges
- Forex depreciation accounted for £3m in COGS or 4% of the variance



SIX MONTHS ENDING 31 DEC 2011 VS PY (NB SERENGETI COGS NOT REPORTED IN PY)

EABL F12 H1 financial statements...

## Interim Financial Report for the period ended 31 December 2011 (UNAUDITED)

### Consolidated Income Statement

| | Six months to 31-Dec-11 Kshs M | Six months to 31-Dec-10 Kshs M | Change % |
|---|---|---|---|
| **Net Revenue** | **27,777** | **20,463** | 36% |
| Cost of Sales | (14,321) | (9,851) | 45% |
| **Gross profit** | **13,456** | **10,612** | 27% |
| Other operating expense | (134) | (301) | -56% |
| Selling and distribution costs | (2,311) | (1,494) | 55% |
| Administrative expenses | (3,699) | (2,702) | 37% |
| **Profit from operations** | **7,312** | **6,115** | 20% |
| Net finance income / (costs) | (642) | 50 | -1394% |
| **Profit before taxation** | **6,670** | **6,165** | 8% |
| Income tax expense | (1,793) | (2,013) | -11% |
| **Profit after taxation** | **4,877** | **4,152** | 17% |
| Non controlling interest | (488) | (963) | -49% |
| **Net profit** | **4,389** | **3,189** | 38% |
| Basic earnings per share | 5.55 | 4.03 | |
| Diluted earnings per share | 5.55 | 4.03 | |

# Proposed Interim Dividend per share



| | |
|---|---|
| Proposed FY12 Interim Dividend per Share | **2.50 Ksh** |
| FY11 Interim Dividend per Share | **2.50 Ksh** |
| Total Cash to Shareholders | **1,977m Ksh** |

# Outlook

## Seni Adetu
## Group Managing Director & CEO




# As we look forward into the second half our focus will be


- Increased investment behind Innovation, Renovation and Marketing activity
- Continued focus on input costs
- Continued focus on premium spirits
- Capex investment
- Seeking Governmental support
  - More consistent application of regulations
  - Renewed cooperation within EAC

# We feel very positive about the future of EABL

- Very encouraging long-term prospects for the consumer economy in the region
- We have strong consumer brands with strong brand equities
- We still have significant share growth potential in the geographies in which we operate
- We have a proven business model which is highly cash-generative
- We are investing ahead for future growth
- We have a highly motivated team who are committed to delivering strong growth
- Our partnership with Diageo gives us access to expertise and support

# Q & A Session

# Thank You



JOHNNIE WALKER
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GUINNESS